domestic products (USD 13.608 trillion versus 2.726 trillion in 2018) and defence expenditures (USD 145 billion versus 40.4 billion).[94]

In response to this complex relationship with China marked by close bilateral ties and cooperation in a number of multilateral fora on the one hand and competition and continued threat perception on the other, India has until now adopted a two-pronged policy.[95] In this part of the chapter, I will first discuss the two-pronged policy of engagement and internal balancing and then elaborate on the emerging third prong – external balancing.

Engagement and internal balancing

The first prong involves continued engagement, both bilaterally and in multilateral forums such as BRICS, SCO, and the Russia–India–China trilateral, in order to maintain overall stability, deepen economic ties, and foster diplomatic cooperation on regional and international issues. Thus, during the Doklam crisis, India not only insisted on a diplomatic settlement based on a return to the status quo ante[96] but did not let the crisis get in the way of scheduled bilateral visits and meetings, be it Prime Minister Modi's meeting with President Xi on the sidelines of the G20 Summit in Hamburg[97] or the participation of Ministers in BRICS conferences.[98] And this despite a high-decibel campaign in China's state-controlled media warning India of a repeat of the 1962 war, a reversal of the recognition of Sikkim as an integral part of India, stirring up of trouble in India's North-Eastern states, and sending troops to Kashmir at Pakistan's behest – all of which has had the effect of lifting the veil on the Chinese leadership's actual thought process about dealing with India.[99] Similarly, Indian has